

Although Kirby made the discovery of the Coffee Can Portfolio sound serendipitous, the central insight behind this construct—that in order to truly become rich an investor has to let a sensibly constructed portfolio stay untouched for a long period of time—is as powerful as it is profound. After all, the instinctive thing for a hard-working, intelligent investor is to try and optimize his portfolio periodically, usually once a year. It is very, very hard for investors to leave a portfolio untouched for ten years. A retail investor will be tempted to intervene whenever he sees stocks in the portfolio sag in price. A professional investor will feel that he has a fiduciary responsibility to intervene if parts of the portfolio are underperforming. But Kirby's counterintuitive insight is that an investor will make way more money if he leaves the portfolio untouched.

Five years ago, inspired by Kirby's 1984 note on 'Coffee Can Portfolio', analysts at Ambit decided to recreate the Coffee Can Portfolio for Indian equity investors.

The Coffee Can Portfolio comes to India

In the Indian context, we have built the Coffee Can Portfolio using a simple construct: we use straightforward investment filters to identify ten to twenty-five high-quality stocks and then leave the portfolio untouched for a decade. Both in back-testing and in the live portfolios that we manage for our clients, we have found that this simple approach delivers consistently impressive results. In particular, the portfolio not only outperforms the benchmark consistently, it also delivers healthy absolute returns and, more specifically, it performs extremely well when the broader market is experiencing stress.

Before we detail the returns delivered by the Coffee Can Portfolio, let's explain the simple investment filters that we employ. To begin with, of the approximately 5000 listed companies in India, we will limit our search to companies with a minimum market capitalization of Rs 100 crore, as the reliability of data on companies smaller than this is somewhat suspect. There are around 1500 listed companies in India with a market cap above Rs 100 crore. Then, we look for companies that over the preceding decade have